

The Merit-Inclusion Model (14-Point Strategic Framework)

1. Equal Training & Incentive Programs

Standardize training modules for all employees regardless of gender. Implement a fair incentive and bonus structure to ensure that hard work is rewarded equally across the board.

2. Gender-Neutral Employee Empowerment

Active promotion of empowerment initiatives that involve both male and female employees, ensuring that "Empowerment" is seen as a collective organizational growth strategy rather than a gender-specific one.

3. Decision-Making through Quality Circles

Establish 'Quality Circles' where employees from all levels discuss operational challenges. Final decisions should be made collectively to ensure maximum transparency and inclusivity.

4. Re-evaluating Female Leadership Opportunities

Address the lower ratio of females in senior positions by re-offering growth opportunities. If past attempts didn't yield results, provide additional support and mentorship to help them capitalize on these chances effectively.

5. Merit-Based Hierarchy & Qualification Tests

Set up a clear hierarchy where promotions to higher posts are strictly based on standardized Qualification Tests. The candidate who clears the test(male or female) rightfully earns the position.

6. Independent Examination Committee

To eliminate any doubts of favoritism or internal politics, form an External Committee (non-company members) to oversee tests and promotion audits, ensuring 100% partiality-free results.

7. Cross-Level Employee Engagement

Organize regular engagement activities where employees from all departments interact. This breaks silos and creates a culture of openness and trust within the organization.

8. Interactive Feedback & Mentorship Sessions

Conduct direct feedback sessions between entry-level employees and senior management. This ensures that the leadership understands ground-level challenges and provides the right opportunities based on real-time input.

9. Performance-Linked Promotion Records

Maintain a detailed work record for every employee. Use a Grading System to measure output; since the workload is equal, the individual (male or female) who puts in more effort and secures higher grades gets promoted automatically.

10. Inclusion of Internal Feedback for External Hiring

When hiring females for senior roles from outside, the qualification policies should be reviewed by current employees. This ensures internal staff feel the process is fair and their seniority is respected.

11. Transparent Onboarding for External Candidates

Clearly communicate to external hires that the company prioritizes transparency and internal feedback. This prevents any feeling of injustice among existing staff and maintains a healthy work environment.

12. Long-term Career Pathing for Entry-Level Females

Provide specialized training, orientation, and info-sessions for women starting at basic levels. The goal is to groom them for future leadership roles from day one through consistent mentorship.

13. Daily Short-Term Targets & HR Incentives

Empower HR to set daily short-term targets. Achieving these targets should lead to immediate incentives, boosting daily motivation and fostering a sense of unity and healthy competition.

14. Integrated Point & Grading System for Promotions

Implement a dual-track system for promotion eligibility:

- 1. Point System: Accumulate points through daily tasks (e.g., 2000 points per task).**
- 2. Grading System: Based on overall work quality.**
- 3. The Benefit: High points or high grades can act as a "waiver" or "passing criteria" for the preliminary round of the higher-post qualification tests.**

The Enhanced Point 14: The Dual-Track Hybrid Evaluation System

- 1. Track A (The Performance Track): For employees who excel in their daily work quality (Grading System). If their consistency is high, they bypass certain initial hurdles.**
- 2. Track B (The Effort Track): For employees who might not have the highest grades but are extremely hardworking and have accumulated maximum "Task Points" through sheer volume of work.**
- 3. The Integration: Both tracks lead to the Preliminary Round of the Qualification Test. This ensures that no talent is left behind—whether they are "high-quality specialists" or "high-volume workers."**

Note : "Point 14: The Hybrid Preliminary Filter" To ensure absolute meritocracy, Zenovia should implement a dual-pathway for the Preliminary Qualification round. Employees can qualify either through consistent High-Performance Grading (Quality) or by reaching a

specific threshold of Cumulative Task Points (Consistency/Effort). This 'Hybrid Filter' acts as a safeguard, ensuring that only those with proven 'Readiness' move toward leadership roles, thereby eliminating the risk of symbolic or optics-driven appointments.

Question 1: How should HR balance investor expectations with ethical and sustainable diversity practices?

- **Strategic Approach:** HR must transition from "Reactive Diversity" (hiring for numbers) to "Proactive Meritocracy" (building systems). The balance is achieved by making the internal promotion process so transparent that investors see "Capability" and "Diversity" as the same metric.
- **Implementing a "Glass-Box" Promotion Audit (Ref: Point 6):** To meet the 12-month deadline ethically, Zenovia should establish an Independent Examination Committee consisting of external industry experts. This removes the "internal politics" variable, providing investors with a certified, bias-free audit trail of every leadership appointment.
- **Institutionalizing "Readiness" via Qualification (Ref: Points 5 & 14):** Investors value governance standards. By deploying Standardized Qualification Tests and a Hybrid Evaluation Model (Points + Grading), HR ensures that no candidate is a "symbolic hire". This creates a sustainable pipeline where diversity is the result of a fair filter, not a bypass of it.
- **Collaborative Policy Formulation (Ref: Points 3 & 10):** Sustainable diversity requires internal buy-in. Using Quality Circles to discuss and set the criteria for external hires ensures that the "3,500-strong" workforce feels the process is inclusive and ethical, rather than a top-down mandate for "optics".

Question 2: What short-term and long-term interventions would you recommend to address leadership diversity without eroding trust?

Strategic Approach: Trust erodes when high-performers feel the "rules of the game" have changed. The solution is to gamify short-term productivity while structurally engineering long-term equity.

Short-Term: Objective Gamification & Feedback (Ref: Points 12, 13, & 7):

- **Micro-Targeting:** HR should implement Short-term Daily Targets linked to an immediate Incentive/Point System. This creates a high-visibility performance culture where points are converted into "Preliminary Round Waivers" for promotions.
- **Engagement:** Immediate Vertical Feedback Sessions must be held to allow high-performing employees to voice concerns. This "Interaction Transparency" ensures that the 12-month push for diversity is perceived as an expansion of opportunity, not a restriction of it.

Long-Term: Structural Pipeline Grooming (Ref: Points 4 & 11):

- **Skill-Acceleration:** With women forming 38% of the total workforce but only 9% of leadership, the long-term fix is Targeted Training and Orientation.
- **Opportunity Re-activation:** HR must identify "High-Potential" women who may have been overlooked previously and provide them with the Empowerment Facilitation needed to bridge the "readiness" gap. This ensures that future leadership is grown organically from within the 20-year-old organization.

Question 3: What risks does Zenovia face if diversity initiatives are perceived as symbolic rather than substantive?

Strategic Approach: Perception is reality in organizational culture. If diversity is viewed as "symbolic," Zenovia risks a total breakdown of its performance management system.

- **The "Credibility Gap" for New Leaders (Ref: Point 4):** Women promoted under "accelerated timelines" without a clear merit-based framework face the risk of being labeled "symbolic appointments". This undermines their authority, makes them less effective decision-makers, and eventually leads to "Leadership Burnout" and high turnover.
- **Organizational Disengagement & Talent Attrition (Ref: Point 14):** High-performing employees (both male and female) value a predictable "Merit-based Hierarchy". If the Point-Grade Hybrid System is absent, these employees will perceive a "meritocracy decay," leading to a loss of Zenovia's best talent to competitors who offer clearer growth pathways.
- **Investor & Partner Backlash (Ref: Point 6):** Modern investors and retail partners expect "Substantive Inclusion". If an audit reveals that Zenovia's 9% to 25% (target) jump was achieved via "Optics-driven hiring" rather than "Capability-building," the company faces significant reputational damage and a potential drop in ESG (Environmental, Social, and Governance) ratings.